

Introduction to the Law of Contracts

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Setting the stage I

Mr. Curious George graduated with a first-class degree in Philosophy from the University of British Columbia in June 2025. In November 2025, he applied for admission to law school.

On March 1, 2026, George received an offer of admission from the law school, beautifully signed by the Dean. The following day, he received a telephone call from the Dean of Admissions at the school. They had a pleasant conversation about the school. Following the conversation, George went to the Canadian Law Forum and announced to his chatroom “friends” that he intended to accept the offer. His friends were very happy for him; indeed, some were jealous.

On March 8, George sent his letter of acceptance and a cheque for the required \$1,000 deposit to the school. He then went to sleep. He did not telephone or email anyone at the school to confirm whether his letter and cheque had been received.

On August 15, just days before the scheduled opening of the law school, George telephoned the school to inquire why he had not received any orientation materials. Lisa, an Admissions Officer, answered the call. Lisa checked her list of admitted students and informed George that his name was not on the list. George was infuriated.

After a heated exchange over the telephone, Lisa told George: *“George, your chance to be part of this great school is gone. As I was once told by a law student, equity aids the vigilant, not the indolent. Cheers”*.

Lisa then hung up the phone.

George is furious and wants to sue the law school. He has come to you for legal advice.

Advise George.

Setting the stage II

Mark is a celebrated local musician. In January 2025, Sarah entered into a contract with Mark under which Mark agreed to perform at Sarah's birthday party on June 21, 2025. Sarah was particularly interested in having Mark perform the 2004 Green Day hit [American Idiot](#) and Childish Gambino's [This Is America](#).

Mark charged a premium for performing these songs because of their complex, unsettling but enduring lyrics. Sarah was prepared to pay the premium because she considered the songs appropriate for the times in which she was living.

In preparation for the event and in anticipation of Mark's performance, Sarah placed an advertisement on her Facebook page, and 500 of her friends signed up to attend. She also ordered food and drinks from a nearby restaurant.

At approximately 11:30 p.m. on June 19, Mark informed Sarah that his wife was in labour and, consequently, that he would be unable to perform at the party the following day. Indeed, Mark was on his way to the hospital when he called. Mark offered to perform at Sarah's next birthday party free of charge. Sarah was greatly distressed by Mark's failure to attend. Some of her Facebook friends have even accused her of deceiving them.

Does Sarah have a cause of action in contract against Mark? If so, what remedy should the court provide her?

Setting the stage III

His Most Holy and Pious Father Derek, leader of the Apostolic Faith Tabernacle, is a great enthusiast of milk and cornflakes. His day does not begin without his customary bowl of milk and cornflakes. Indeed, the city is filled with rumours that he once missed morning mass because he was stuck in a queue at Longo's, where he had gone to purchase both items on a Sunday morning!

In 2025, there was an acute shortage of milk because of a mysterious disease that left many cows dead. Andrew is the proud owner of a vast ranch specializing in dairy products, which are sold only to select clients. The cows on his ranch were particularly severely affected by the mysterious disease. Andrew's New Year's resolution for 2026 was: *"Every customer counts; lose no customer - at least not their money"*.

In January 2026, Derek entered into a contract with Andrew. Under the agreement, Andrew agreed to deliver semi-skimmed cow's milk, 2% 2Ls, to Derek's house throughout the month of February 2026. The total contract price was \$120, including delivery charges.

Clause 8 of the contract provided:

"In the event of failure to deliver or accept delivery of the milk, the party in default shall pay the other party \$20 as a penalty for each day of non-delivery or non-acceptance".

On January 30, Derek telephoned Andrew and informed him that he was no longer interested in receiving the milk. Andrew was infuriated. He replied over the phone: *"What? Father, you must be kidding me! My cows are heavy with milk. It is all yours"*. He then angrily hung up the phone.

From February 1 to February 28, Andrew delivered the milk to Derek's house, leaving each delivery at his front door, as required under the contract. Derek disposed of each delivery by placing it in his dustbin. He has refused to pay the contract price. Andrew now wants to commence an action against Derek to recover the \$560 he claims is due under the contract.

Advise Andrew.

Organizational matters

- The professor teaching the course: [Richard Frimpong Oppong](#)
- Dean's Fellow for the course:
 - Maliha Khan
 - Elvis Agbemelo-Tsomafo
- Faculty Assistant
Mary Rosati 416-736-2100, ext. 33147
Room 4050A
Email: mrosati@osgoode.yorku.ca
- The Syllabus:
 - Accessible through the eClass
 - Review of Syllabus

Organizational matters (cont'd)

- Office hours and contact information
 - Best to email roppong@osgoode.yorku.ca for an appointment (**note the dates and times you are available in your email**)
- Required course materials:
 - Waddams, Girgis, MacDougall, McCamus and Neyers, *Cases and Materials on Contracts*, 7th ed. (2023)
- Recommended
 - J.D. McCamus, *The Law of Contracts* 3d ed. (2020), available online through the library.

Class rules

- Come prepared and come on time.
- Do not do anything in class that is distracting to other students. This includes eating during class and engaging in conversations during class.
- Ask questions.
- Be prepared to answer questions when asked.
- Avoid surfing the internet.

Structure of each class

- Access the PowerPoint slides for each class through the eClass LMS before class.
- Generally, each class will comprise:
 - Explaining the law.
 - Class discussion on cases (“[contract law] is still readily learned by the reading of opinions in individual cases and stitching them together into a tapestry of knowledge”, Cunningham, *Contracts in the Real World*, p. 9).
 - Resolving hypothetical contract problems.
- Readings for each class are indicated in the syllabus, unless stated otherwise in an announcement.

Introduction to contract law

- Contracts are everywhere.
- As a society, we devote enormous resources and attention to contract law.
- ✓ Why do we do so?
- What is a contract?
 - Contract as a term of art
 1. A contract is a legally binding promise or set of promises
 2. A contract is an enforceable transaction that is formally rooted in a promise (express, implied, imputed or constructed). Such a promise may be reciprocated by a requested act of performance, or reciprocated by a promise or is intended to, and does induce reasonable reliance or expectation on the part of the promisee (the one to whom the promise is made).
 3. A contract is a **promise** or a set of promises for the breach of which the law gives a remedy, or the performance of which the law in some way recognizes a duty. *Restatement (2nd) of Contract* §1
- What is a promise? A promise is a manifestation of intention to act or refrain from acting in a specified way, so made as to justify a promisee in understanding that a commitment has been made.
- Why is it important for the law not to enforce all promises?

Exercise 1

- Which of these promises do you consider to be legally binding and why?
 - Adam promises to take his roommate, Sarah, for lunch.
 - Alice promises to give a homeless person, Mike, a free meal.
 - Jane promises to buy a certified pre-owned car from Cars for Cause Ltd, a car dealership.
 - Peter, Adam's neighbour, promises Adam \$500 on his 50th birthday.
 - Jonathan promises \$10,000 to anyone who can walk the entire length of Yonge Street in a day.

**Note: Sometimes parties enter into a legally non-binding agreement.

The nature of a contract

- What makes a valid contract?
 1. Agreement (offer and acceptance);
 2. Intention to create legal relations;
 3. Certainty; **and**
 4. Consideration

‘In order to establish a contract, whether it be an express contract or a contract implied by law, there has to be shown a meeting of minds of the parties, with a definition of the contractual terms reasonably clearly made out, with an intention to affect the legal relationship: that is that the agreement that is made is one which is properly to be regarded as being enforceable by the court if one or the other fails to comply with it; and it still remains a part of the law of this country, though many people think that it is time that was changed to some other criterion, that there must be consideration moving in order to establish a contract’. Megaw LJ *Horrocks v. Foray* [1967] 1 All ER 737 at 742

- A transaction which fails to meet these requirements is not a contract in law and is not enforceable as such. (Alternative bases of enforcement – promissory estoppel; waivers; promises by deed)
- Relationship between the elements (discrete and separate vs. closely connected and overlapping)

Intention in Contract Formation

- The intention of the parties is key to contract formation.
- Two approaches to assessing intention:
 - Subjective approach or “meeting of the minds” (determine what the particular contracting persons actually intended to contract)
 - Objective approach (based on words, actions or other manifestations that the reasonable person can see or hear and interpret).
- In your view, which of these two approaches to ascertaining the manifestation of mutual assent is the more appropriate, and why?

Intention in Contract Formation (cont'd)

- Test – Objective
 - An offeror is not bound according to his own subjective intentions; nor according to the offeree's subjective understanding of his promise, but according to the understanding of his intention which would be formed by a reasonable person in the position of the offeree.
 - “If, whatever a man's real intention may be, he so conducts himself that a reasonable man would believe that he was assenting to the terms proposed by the other party, and that other party upon that belief enters into a contract with him, the man thus conducting himself would be equally bound as if he had intended to agree to the other party's terms.”
Smith v. Hughes (1871)
 - Objective appearance of agreement rather than actual fact of agreement: once the parties have to all outward appearances agreed in the same terms on the same subject-matter, then neither can, generally, rely on some unexpressed qualification or reservation to show that he had not in fact agreed to the terms to which he had appeared to agree. Such subjective reservations of one party do not prevent the formation of a contract.

Devani v Wells [2019] UKSC 4 at paras 17-23 (ONLY)

What did this case teach you about the objective test for ascertaining whether the parties made a contract, especially the extent to which courts will strive to hold that there is a contract?

“The question whether there was a binding contract between Mr Devani and Mr Wells required a consideration of what was communicated between them by their words and their conduct and whether, objectively assessed, that led to the conclusion that they intended to create a legally binding relationship and that they had agreed all the terms that the law requires as essential for that purpose. Lord Clarke explained the relevant principles in this way in *RTS Flexible Systems Ltd v Molkerei Alois Müller GmbH* [2010] UKSC 14; [2010] 1 WLR 753, para 45:

“The general principles are not in doubt. Whether there is a binding contract between the parties and, if so, upon what terms depends upon what they have agreed. It depends not upon their subjective state of mind, but upon a consideration of what was communicated between them by words or conduct, and whether that leads objectively to a conclusion that they intended to create legal relations and had agreed upon all the terms which they regarded or the law requires as essential for the formation of legally binding relations. Even if certain terms of economic or other significance have not been finalised, an objective appraisal of their words and conduct may lead to the conclusion that they did not intend agreement of such terms to be a precondition to a concluded and legally binding agreement.””

Owners, Strata Plan LMS 3905 v. Crystal Square Parking Corp., 2020 SCC 29 (CanLII), [2020] 3 SCR 247 at paras 33 and 81-83 (ONLY)

“[33] In sum, an “outward manifestation of assent by each party such as to induce a reasonable expectation in the other” is required in order to find that a binding post-incorporation contract exists. The test is objective. It requires an examination of how each party’s conduct would appear to a reasonable person in the position of the other party. Thus, a court should determine whether a reasonable person in the position of one party would consider that the other party’s conduct constituted an offer. And, conversely, whether a reasonable person in the position of the latter would consider that the former’s conduct constituted an acceptance. The pre-incorporation contract is merely one aspect of the objective circumstances that can be used to interpret the parties’ conduct and from which the terms of a post-incorporation contract may be inferred.” [citations omitted]

“In contracts you do not look into the actual intent in a man's mind. You look at what he said and did. A contract is formed when there is, to all outward appearances, a contract. A man cannot get out of a contract by saying: “I did not intend to contract” if by his words he has done so. His intention is to be found only in the outward expression which his letters convey. If they show a concluded contract, that is enough”. *Storer v. Manchester City Council* [1974] 1 W.L.R. 1403, 1408

Oliver Wendell Holmes cleverly states: “nothing is more certain than that parties may be bound by a contract to things that neither of them intended.” Oliver Wendell Holmes, Jr, “The Path of the Law” (1897) 10 Harvard Law Review 457 at 6.

Exercise 2

Maya is the owner of a small independent art gallery. On Monday, 17 August, she met Daniel, a local artist, at a coffee shop. Daniel showed Maya photographs of a large abstract painting he had recently completed from his phone. Maya said, “I really like it. I could pay \$8,000 for something like this.” Daniel replied, “You can have this one for \$8,000. I’ll bring it to the gallery on Friday.” Maya smiled and said, “Perfect. I’ll see you Friday.” They shook hands before leaving.

Later that evening, Daniel sent Maya a message stating: “Just confirming our deal. The painting is yours for \$8,000. I’ll deliver Friday.” Maya did not reply, but she read the message. The following morning, Maya mentioned to her gallery assistant that she is “expecting an \$8,000 painting from Daniel. They began planning where to display it.

On Thursday, another gallery owner offered Daniel \$11,000 for the painting. Daniel accepted the offer and immediately messaged Maya: “I’m sorry, but I’ve decided not to sell the painting to you. I thought our conversation was only an informal discussion.”

Maya argues that a binding contract was formed between them and threatens to sue Daniel for breach of contract. Daniel argues that there was no contract because they were merely discussing a possible sale and had not signed anything or agreed on payment arrangements.

Advise Maya and Daniel on whether they have formed a binding contract.

Framework of contract law

Contract Formation

Do the parties even have a deal?

Contract Defenses

Can either party get out of the deal?

Contract Meaning

What, exactly, has each of the parties agreed to do?

Contract Performance and Breach

In what order must the parties perform, and what happens if one party doesn't perform properly?

Third-Party Contract Issues

Other than the parties, who can enforce the deal?

Contract Remedies

What does a party who sues for breach get if that party wins?

Freedom of Contract

- ‘If there is one thing which more than another public policy requires it is that men of full age and competent understanding shall have the utmost liberty of contracting, and that their contracts when entered into freely and voluntarily shall be held sacred and shall be enforced by Courts of justice’ Sir George Jessel MR *Printing and Numerical Registering Co v. Sampson* (1875) LR 19 Eq 462, 465
- Why freedom of contract?
- Elements:
 - Term freedom
 - Party freedom
 - Sanctity of contracts
- Freedom of contract is not unlimited
- Default rules in contract law

Sources of contract law

- Contract law is provincial law
 - The focus of this course is on general principles and doctrines.
 - Note that there are different types of contracts, and some have specialized laws applicable to them.
- The two sources of contract law:
 - The common law and equity (principal source)
 - Legislation
- ** Is it appropriate for the development of contract law mainly to be in the hands of judges?
- The international (substantive and conflict of laws) aspects of contract law.

Classification of Contracts

- By subject matter (e.g., employment contract, sale of goods contract, insurance contract, loan agreement, procurement contract, charterparty)
- By the parties (e.g., commercial contracts, consumer contracts, government contracts)
- Legal consequences:
 - void contract (not a contract at all)
 - voidable contract (valid until rescinded)
 - unenforceable contract (valid but no claim can be founded on it)

Classification of Contracts

- Formalities:
 - Formal contracts (made under seal; promise is not necessarily reciprocated by either a promise or a requested act of performance)
 - Simple contracts (not executed under a seal, but supported by consideration)

- Structure of the transaction
 - Executed contract versus executory contract
 - Domestic contract and international contract
 - Unilateral contract and Bilateral contract
 - A unilateral contract is a contract formed when an offer can be accepted only through performance.
 - A contract is synallagmatic, or bilateral, when the parties obligate themselves reciprocally, each to the other, so that the obligation of one party is correlative to the obligation of the other. When one party obligates himself to the other without any obligation on the part of the latter, the contract is unilateral. The Quebec Civil Code, s. 1380

Exercise 3

Determine whether the following offers propose a unilateral or bilateral contract.

1. I will pay anyone who finds my lost dog, Fido, \$100.
2. I will pay you \$50 to search for my lost dog, Fido.
3. I will pay you \$30 an hour to babysit my two children next Friday night.
4. If you refrain from drinking, smoking, swearing, and playing cards until the age of twenty-one, I will pay you \$5,000.
5. I am willing to sell you my car for \$20,000.
6. The City will pay \$10,000 for information leading to the arrest and conviction of the person who stole the Mona Lisa in the Mayor's office.

Policy and contract law

- The rules of contract law are often informed by certain underlying policies.
Examples:
 - Certainty and predictability
 - Freedom of contract
 - Fairness
 - Efficiency
 - The protection of weaker parties
 - Allocation of risk to one best placed to avoid it
 - And more

Exercise 4

- In your opinion, what policy rationale best explains the following rules of contract law?
 - Courts refuse to enforce contract if the parties had greatly unequal bargaining power and the bargain they made was particularly one-sided (“unconscionability doctrine”).
 - Courts do not require a party who has breached a contract to pay damages based on harm suffered by the other party if the party in breach could not have anticipated such harm at the time the parties entered into the contract (“reasonable foreseeability”).
 - Courts generally do not hold a party in breach of contract where the party’s performance has been made impossible by an unexpected event (“doctrine of frustration”).

Exercise 4 (cont'd)

- Courts generally do not allow parties to testify about contractual terms not contained in their written agreement (“the parol evidence rule”).
- Courts limit the damages a party not in breach of contract may recover if that party failed to make reasonable efforts to minimize the resulting harm they suffer (“mitigation of damages”).
- Courts do not require most types of contracts to be in writing or signed (“contract not subject to the statute of frauds”).